U.S. Dollar Stores

The Messy Middle: Revisiting the Issues with a Different Take

CORE

U.S. Broadlines, Hardlines & Food Retail
NEUTRAL

U.S. Broadlines, Hardlines & Food Retail
Seth Sigman
+1 212 526 7417
seth.sigman@barclays.com
BCI, US

Theo Brito
+1 212 526 9504
theo.brito@barclays.com
BCI, US

Oliver Hu
+1 212 526 6180
oliver.hu@barclays.com
BCI, US

While a majority of our stocks have outperformed this year—including both staples and discretionary retailers—the dollar stores stand out, having been left behind and seemingly one of the only groups that could still have a real disconnect.

What's new: Dollar store results have been weak this year (sales and margins), at a time when WMT's mousetrap is strengthening, feeding the narrative that the space is "broken", and leading to valuation re-rating lower to the bottom retail tier (Figure 11). We explore the issues again (there are plenty) but at least consider the unpopular view that the issues facing DG, DLTR and FIVE *are not entirely structural*. While FIVE has some key differences, sentiment on that stock has improved meaningfully since the pre-announcement in July, as an example.

Setting the stage, we believe trends have been lackluster again QTD (ex-hurricanes), lagging other public peers (like WMT), with DG working through back to basics initiatives, FD relatively stable but likely benefiting from store closings, and DLTR pressured due in part to its discretionary mix, as we saw in Q2. We are not changing numbers as we believe guidance largely reflected these concerns. We provide some other insights on Q3 drivers later. But more important for the stocks is the actual cause of the weakness, which we *think is some combination of macro, company-specific execution issues, and competition, with the market possibly overly discounting the latter as these stocks have re-rated and fallen into the lowest valuation within retail.*

1) Macro does seem to be a key factor; weaker lower income spending has likely weighed on results over the last few quarters (continuing QTD as we discuss); we believe that reflects SNAP, along with elevated inflation for this cohort (Figure 2), driving a somewhat consistent slowdown in spending among the low income cohort at many of the retailers we cover based on third-party data (Figure 1). These pressures could continue, but the stocks are trading as if the problems are deeper.

2) Market share also a factor but not all bad; we believe that dollar stores could be losing share to WMT and select others that have enhanced their convenience and price value proposition, but our analysis suggests they are gaining from other channels including traditional grocery, drug and convenience stores (Figures 3-5 as we benchmark DG, FDO and DLTR consumables growth to the broader industry) which seems underappreciated.

Completed: 21-Oct-24, 07:59 GMT Released: 21-Oct-24, 09:45 GMT Restricted - External

3) Valuation correction too extreme? Despite point 2, the dollar store stocks now trade at low end of the retail group, along with grocers, department stores and other competitively challenged categories. Accepting that these companies are comping relatively in line with the broader space (and that they are not net share losers), moving back up a valuation tier depends on the progress towards margin recovery, starting as soon as Q3/4. Key considerations include i) reinvestment; while there are margin tailwinds potentially into FY25 on a gross basis (freight, shrink, damages, etc.), investors continue to question the level of reinvestment required to hang in there (pricing, labor); ii) if key strategic initiatives can still work (e.g. DG non consumable seems important to the model, DLTR multi price point, etc.); iii) if enough "supply" can come out of the grocery space as we detail later.

Current thoughts on DG and DLTR

DG seems stable, working through back to basics strategy: Overall, we believe DG is making progress on its back to basics strategy (>50% of the way through certain store changes coming out of Q2), although it takes time and the core consumer is still under pressure. We believe trends were relatively stable QTD, similar to Q2, with some acceleration around the hurricane. For margins, we believe promo activity has been elevated as expected (we assume negative y/y in Q3, positive to Q4 based on comparisons), but continue to see an opportunity for vendor support. Our sense is that the company is making progress with shrink as it moves further away from the self-check out changes; this should still be a tailwind in Q4 and into 2025. While we see numerous margin recovery opportunities in FY25 (shrink, damages, markdowns, etc), we also expect normalization of incentive comp, limiting EPS growth next year, and driving our EPS of $5.98 vs. Bloomberg consensus at $6.27 (vs. our $5.89 / consensus $5.86 for FY24). That said, the stock trades just 13x this number.

DLTR mixed, with macro also a factor, while initiatives progressing: FDO weak but stable, while DLTR mixed with low/middle income under pressure, but progress rolling out multi price point, and outperformance of consumables within the box. We believe Hurricane Helene could be a small net positive impact; physical damage seemed limited. Margin pressures largely seem consistent with guidance at this point, freight savings locked in, shrink/mix largely behind, and general liability issue likely one time true up in Q2. Shrink trends still seem mixed, with FDO more stable now while DLTR likely behind. Looking to FY25, bridge supports our EPS of $5.79, with upside to consensus $6.11 dependent on sales and FDO status, as well as reversing the $0.30-0.35 shrink/mix pressure we saw in 1H.

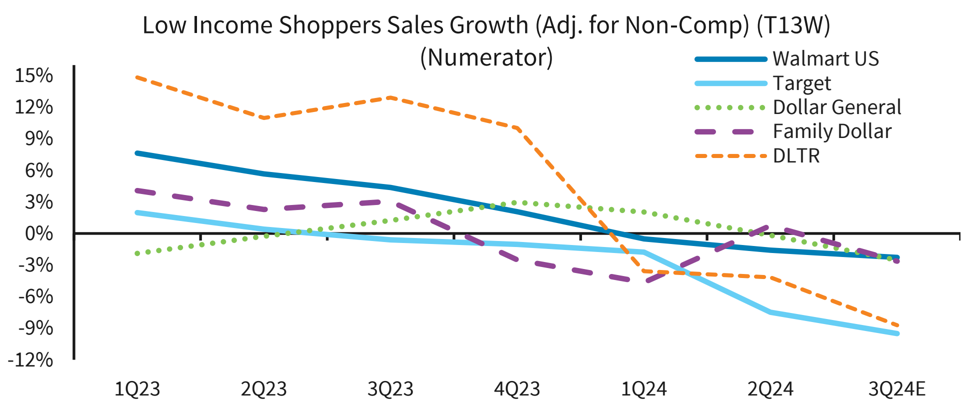
Dissecting recent trends

Overall, we believe trends stable QTD, pre hurricane (which to be fair needs to be discounted). DG is still working through back to basics, while FD seems relatively stable but likely some benefit from store closings while DLTR seems more pressured due to its discretionary exposure similar to Q2. We attribute weakness in results some combination of 1) macro, 2) company-specific execution issues, 3) competition, with the market overly discounting this factor as these stocks have re-rated and fallen into the lowest valuation with retail.

Macro a key factor

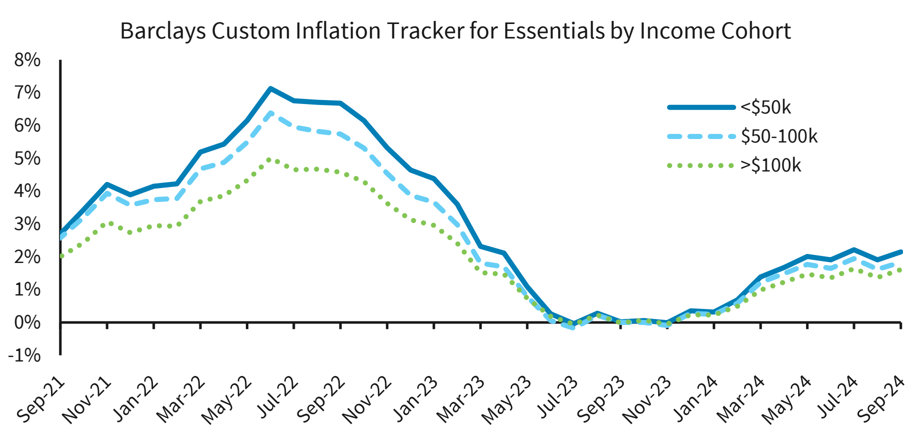
Weaker lower income spending has likely weighed on results over the last few quarters (continuing QTD as we discuss); we believe that reflects SNAP, along with elevated inflation for this cohort (Figure 2), driving a somewhat consistent slowdown in spending among the low income cohort at many of the retailers we cover based on third-party data (Figure 1).

FIGURE 1. Low income does seem weak broadly



Source: Company data, Numerator, Barclays Research

FIGURE 2. Inflation tracker suggests low income cohort still under pressure

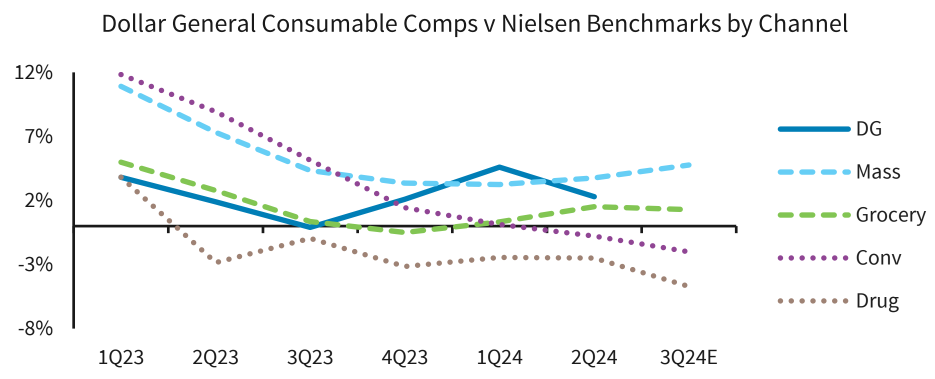


Source: US Bureau of Labor Statistics, Barclays Research

Market share picture is mixed; lagging WMT, outperforming others

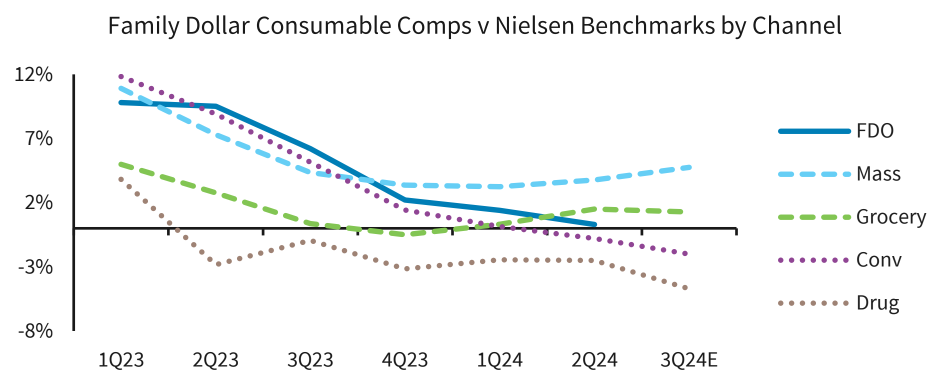
We believe dollar stores could be losing share to WMT and select others, but our analysis suggests they are gaining from other channels including grocery, drug and convenience (Figures 3-5 we benchmark DG, FDO, DLTR consumables growth to the broader industry).

FIGURE 3. Mass merchants (WMT) and warehouse clubs seem to be outperforming the broader space



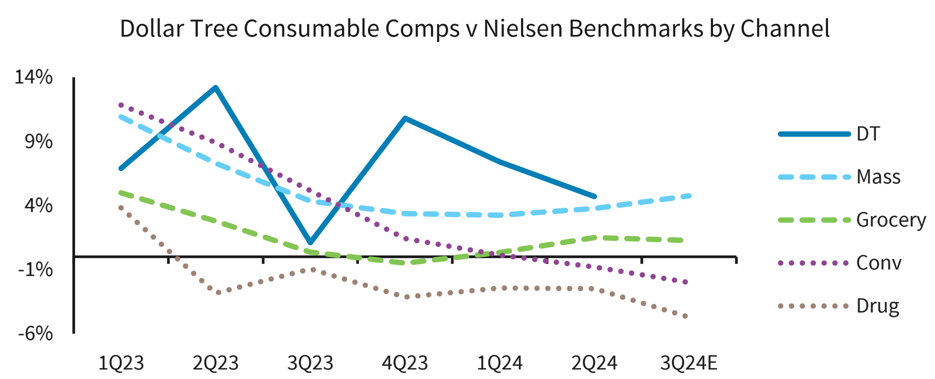
Source: Company data, NielsenIQ, Barclays Research

FIGURE 4. WMT's MSD consumables comp growth compares to FDO/DLTR +LSD...



Source: Company data, NielsenIQ, Barclays Research

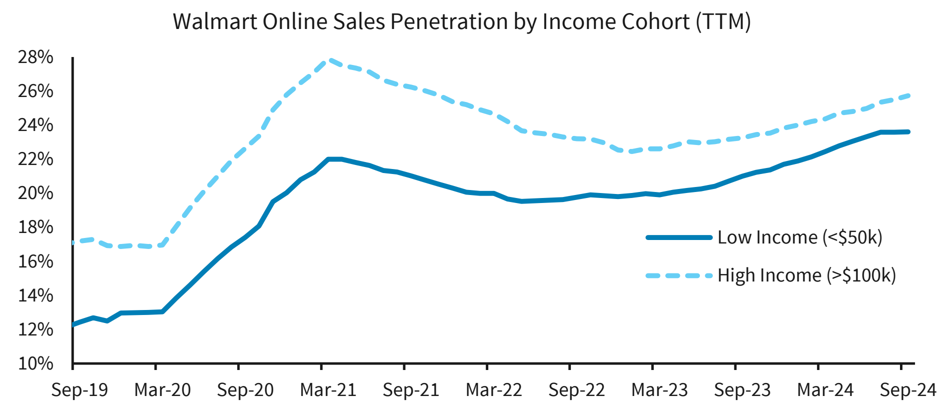
FIGURE 5. ...But that's also better than other channels incl. grocery, convenience, drug stores



Source: Company data, NielsenIQ, Barclays Research

WMT is clearly on offense; one example is growth of their digital business, particularly among low income shoppers. We show below online penetration for this cohort rapidly increasing this year based on our analysis of Barclays card data, which should have implications.

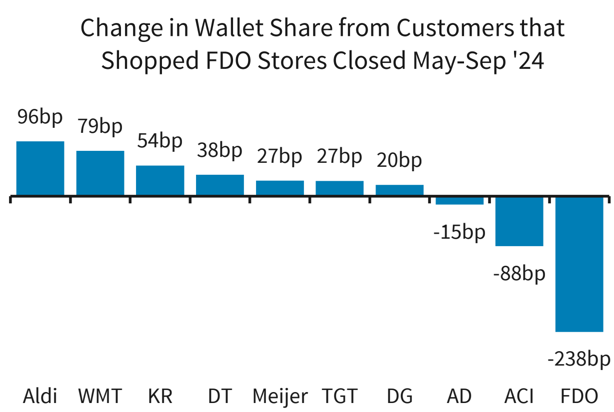
FIGURE 6. Walmart's online penetration for low income shoppers has been increasing at a fast pace



Source: Barclays Research

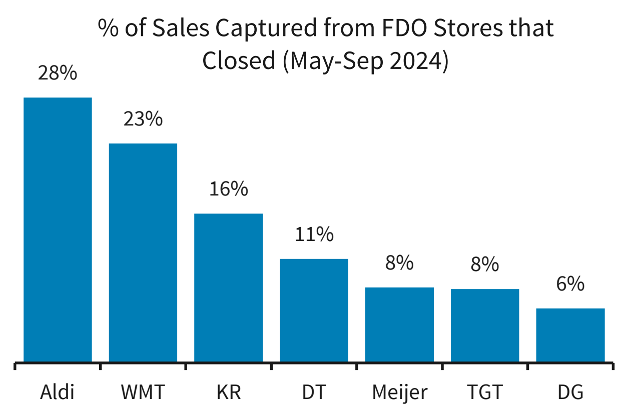
Using analysis of Family Dollar store closings helps frame how hard discounters (Aldi) and Walmart have been among the biggest beneficiaries of the shift from FDO at least.

FIGURE 7. We isolated Barclays card users that spent in 2023 at any of the FDO stores that have since closed...



Source: Barclays Research

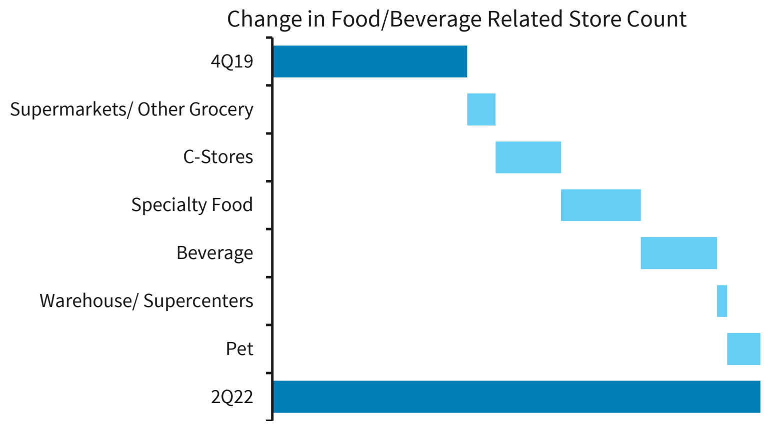
FIGURE 8. ...and compared wallet share across competing retailers; Aldi and Walmart among the biggest gainers



Source: Barclays Research

Broadly, we consider a less favorable “supply” backdrop than pre pandemic, as we have seen an acceleration store openings across the food/beverage space (+11k since 2019, or 7%) (vs. limited growth in the past). So, WMT is gaining share, along with hard discounters, warehouse clubs, while there could be an excess number of other participants. That said, we would expect that to correct over time, as seen in the past.

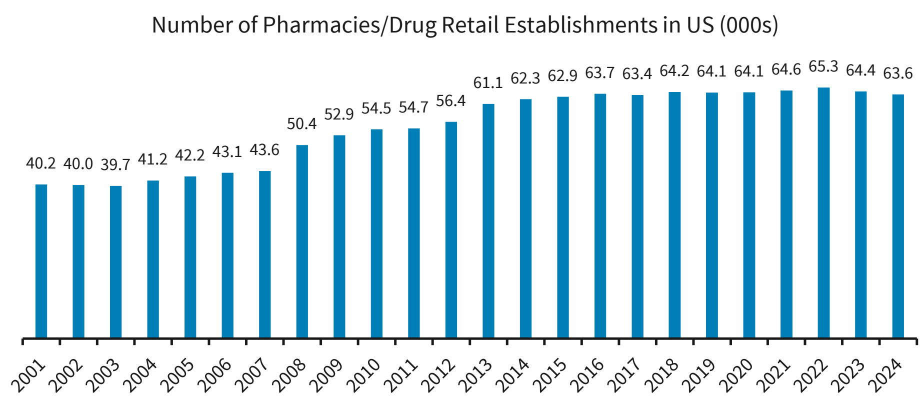
FIGURE 9. Below we provide a bridge of unit growth across food/beverage retail channels (as measured by "establishments")



Source: US Bureau of Labor Statistics, Barclays Research

Drug stores are often cited as an opportunity for the dollar stores. Data from BLS shows number of pharmacies/drug stores peaked in 2022, and is now declining at a LSD run rate.

FIGURE 10. The number of pharmacies and drug stores in the US is declining at a LSD run rate

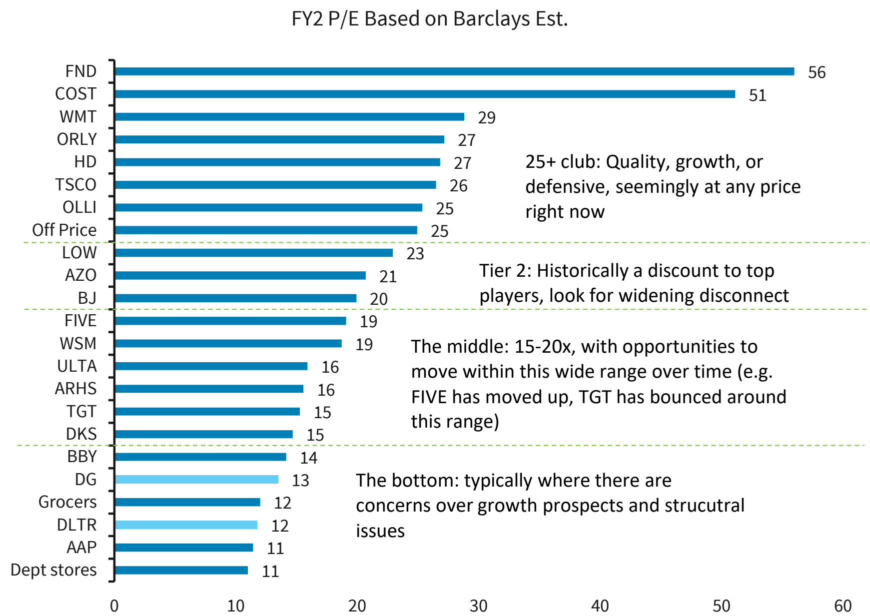


Source: US Bureau of Labor Statistics, Barclays Research

What should this mean for valuation?

Our analysis below helps frame how DG/DLTR actually now trade at low end of the sector, along with grocers, department stores and other competitively challenged groups. Should dollar stores trade at a higher valuation than grocery? Sales should outpace as both companies address execution issues. Moving back up a valuation tier seems to depend on the margin recovery; there are tailwinds into FY25, but will there also need to be a reinvestment, and ultimately can the non-consumable story take hold again.

FIGURE 11. DG and DLTR now trade at low end of sector, along with grocers, department stores, and other competitively challenged groups



Source: Bloomberg, Barclays Research

Methodology

This section is a Special Report that is not an equity or a debt research report under U.S. FINRA Rules 2241-2242.

Fan Gao[ii] BCI, US

This section is a Special Report that is not an equity or a debt research report under U.S. FINRA Rules 2241-2242.

We identify closed FDO stores by analyzing monthly store location data obtained from AggData. This list is then verified against Barclaycards data by matching store numbers, allowing us to pinpoint ~660 closed FDO locations. In terms of wallet share, we categorize closed cohort customers as Barclaycards holders who have made purchases at any of these closed stores in 2023. For compiling a list of competitors, we every banner under each name using credit card merchant name to ensure a comprehensive overview of aggregated sales.

[ii] This author is a member of the Fixed Income, Currencies and Commodities Research department and is not an equity or debt research analyst.

Analyst(s) Certification(s):
In relation to our respective sections we, Fan Gao, CFA and Seth Sigman, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

EQUITY: IMPORTANT DISCLOSURES
Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays"). All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:
Where any companies are the subject of this research report, for current important disclosures regarding those companies please refer to https://publicresearch.barclays.com or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

The analysts responsible for preparing this research report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by investment banking activities, the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst.

Analysts regularly conduct site visits to view the material operations of covered companies, but Barclays policy prohibits them from accepting payment or reimbursement by any covered company of their travel expenses for such visits.

Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to https://publicresearch.barclays.com/S/RD.htm. In order to access Barclays Research Conflict Management Policy Statement, please refer to: https://publicresearch.barclays.com/S/CM.htm.

Materially Mentioned Stocks (Ticker, Date, Price)
Dollar General Corporation (DG, 18-Oct-2024, USD 80.60), Overweight/Neutral, CD/CE/FA/J

Dollar Tree Inc (DLTR, 18-Oct-2024, USD 68.20), Equal Weight/Neutral, CD/CE/J

Five Below, Inc. (FIVE, 18-Oct-2024, USD 94.91), Equal Weight/Neutral, CE/FB/J

Walmart Inc. (WMT, 18-Oct-2024, USD 81.31), Overweight/Neutral, CD/CE/D/E/J/K/L/M/N

Unless otherwise indicated, prices are sourced from Bloomberg and reflect the closing price in the relevant trading market, which may not be the last available closing price at the time of publication.

Disclosure Legend:
A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of the issuer in the previous 12 months.

B: An employee or non-executive director of Barclays PLC is a director of this issuer.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by this issuer.

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by this issuer.

CH: Barclays Bank PLC and/or its group companies makes, or will make, a market in the securities (as defined under paragraph 16.2 (k) of the HK SFC Code of Conduct) in respect of this issuer.

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer within the next 3 months.

FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with US regulations.

FB: Barclays Bank PLC and/or an affiliate beneficially owns a long position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FC: Barclays Bank PLC and/or an affiliate beneficially owns a short position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FD: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with South Korean regulations.

FE: Barclays Bank PLC and/or its group companies has financial interests in relation to this issuer and such interests aggregate to an amount equal to or more than 1% of this issuer's market capitalization, as calculated in accordance with HK regulations.

GD: One of the Research Analysts on the fundamental credit coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

GE: One of the Research Analysts on the fundamental equity coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

H: This issuer beneficially owns more than 5% of any class of common equity securities of Barclays PLC.

I: Barclays Bank PLC and/or an affiliate is party to an agreement with this issuer for the provision of financial services to Barclays Bank PLC and/or an affiliate.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities of this issuer and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from this issuer within the past 12 months.

L: This issuer is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

M: This issuer is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

N: This issuer is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

O: Not in use.

P: A partner, director or officer of Barclays Capital Canada Inc. has, during the preceding 12 months, provided services to the subject company for remuneration, other than normal course investment advisory or trade execution services.

Q: Barclays Bank PLC and/or an affiliate is a Corporate Broker to this issuer.

R: Barclays Capital Canada Inc. and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

S: This issuer is a Corporate Broker to Barclays PLC.

T: Barclays Bank PLC and/or an affiliate is providing investor engagement services to this issuer.

U: The equity securities of this Canadian issuer include subordinate voting restricted shares.

V: The equity securities of this Canadian issuer include non-voting restricted shares.

Risk Disclosure(s)
Master limited partnerships (MLPs) are pass-through entities structured as publicly listed partnerships. For tax purposes, distributions to MLP unit holders may be treated as a return of principal. Investors should consult their own tax advisors before investing in MLP units.

Disclosure(s) regarding Information Sources
The Nielsen material contained in this report represents Nielsen estimates and does not represent facts. Nielsen has neither reviewed nor approved this report and/or any of the statement made herein.

Guide to the Barclays Fundamental Equity Research Rating System:
Our coverage analysts use a relative rating system in which they rate stocks as Overweight, Equal Weight or Underweight (see definitions below) relative to other companies covered by the analyst or a team of analysts that are deemed to be in the same industry (the "industry coverage universe").

In addition to the stock rating, we provide industry views which rate the outlook for the industry coverage universe as Positive, Neutral or Negative (see definitions below). A rating system using terms such as buy, hold and sell is not the equivalent of our rating system. Investors should carefully read the entire research report including the definitions of all ratings and not infer its contents from ratings alone.

Stock Rating
Overweight - The stock is expected to outperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Equal Weight - The stock is expected to perform in line with the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Underweight - The stock is expected to underperform the unweighted expected total return of the industry coverage universe over a 12-month investment horizon.

Rating Suspended - The rating and target price have been suspended temporarily due to market events that made coverage impracticable or to comply with applicable regulations and/or firm policies in certain circumstances including where the Investment Bank of Barclays Bank PLC is acting in an advisory capacity in a merger or strategic transaction involving the company.

Industry View
Positive - industry coverage universe fundamentals/valuations are improving.

Neutral - industry coverage universe fundamentals/valuations are steady, neither improving nor deteriorating.

Negative - industry coverage universe fundamentals/valuations are deteriorating.

Below is the list of companies that constitute the "industry coverage universe":

U.S. Broadlines, Hardlines & Food Retail

Advance Auto Parts Inc. (AAP)	Arhaus, Inc. (ARHS)	AutoZone Inc. (AZO)
Best Buy Co., Inc. (BBY)	Beyond, Inc. (BYON)	BJ's Wholesale Club Holdings, Inc. (BJ)
Costco Wholesale Corp. (COST)	Dollar General Corporation (DG)	Dollar Tree Inc (DLTR)
Driven Brands Holdings Inc. (DRVN)	Five Below, Inc. (FIVE)	Floor & Decor (FND)
Home Depot Inc. (HD)	Lowe's Companies, Inc. (LOW)	O'Reilly Automotive Inc. (ORLY)
RH (RH)	Target Corp. (TGT)	Tractor Supply Co. (TSCO)
Walmart Inc. (WMT)	Wayfair Inc. (W)	Williams-Sonoma, Inc. (WSM)

Distribution of Ratings:
Barclays Equity Research has 1864 companies under coverage.

48% have been assigned an Overweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Buy rating; 52% of companies with this rating are investment banking clients of the Firm; 72% of the issuers with this rating have received financial services from the Firm.

35% have been assigned an Equal Weight rating which, for purposes of mandatory regulatory disclosures, is classified as a Hold rating; 44% of companies with this rating are investment banking clients of the Firm; 62% of the issuers with this rating have received financial services from the Firm.

15% have been assigned an Underweight rating which, for purposes of mandatory regulatory disclosures, is classified as a Sell rating; 32% of companies with this rating are investment banking clients of the Firm; 55% of the issuers with this rating have received financial services from the Firm.

Guide to the Barclays Research Price Target:
Each analyst has a single price target on the stocks that they cover. The price target represents that analyst's expectation of where the stock will trade in the next 12 months. Upside/downside scenarios, where provided, represent potential upside/potential downside to each analyst's price target over the same 12-month period.

Types of investment recommendations produced by Barclays Equity Research:
In addition to any ratings assigned under Barclays' formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts within Equity Research. Any such investment recommendations shall remain open until they are subsequently amended, rebalanced or closed in a future research report.

Barclays may also re-distribute equity research reports produced by third-party research providers that contain recommendations that differ from and/or conflict with those published by Barclays' Equity Research Department.

Disclosure of other investment recommendations produced by Barclays Equity Research:
Barclays Equity Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays Equity Research in the preceding 12 months please refer to https://live.barcap.com/go/research/Recommendations.

Legal entities involved in producing Barclays Research:
Barclays Bank PLC (Barclays, UK)

Barclays Capital Inc. (BCI, US)

Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)

Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)

Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)

Barclays Securities Japan Limited (BSJL, Japan)

Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)

Barclays Bank Mexico, S.A. (BBMX, Mexico)

Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)

Barclays Securities (India) Private Limited (BSIPL, India)

Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)

Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Dollar General Corporation (DG / DG)

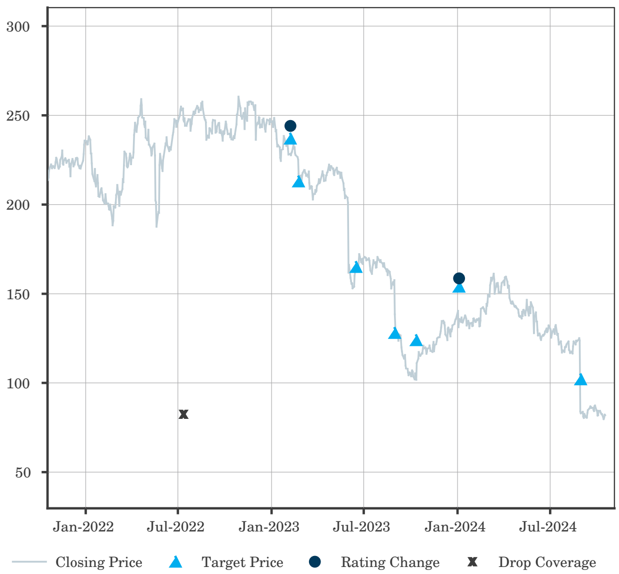
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 80.60** (18-Oct-2024)

Rating and Price Target Chart - USD (as of 18-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
30-Aug-2024	84.03		102.00
04-Jan-2024	140.43	Overweight	154.00
12-Oct-2023	101.83		124.00
31-Aug-2023	138.50		128.00
16-Jun-2023	163.68		165.00
23-Feb-2023	225.27		213.00
07-Feb-2023	228.39	Equal Weight	237.00
06-Jul-2022	250.05	Coverage Dropped	

On 21-Oct-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 245.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Dollar General Corporation.
CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Dollar General Corporation.
FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of Dollar General Corporation, as calculated in accordance with US regulations.
J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Dollar General Corporation and/or in any related derivatives.

Valuation Methodology: Our price target of $102 is based on 17x our 2025E EPS estimate of $5.98, as the company takes steps to address 2023 issues.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: On the downside: 1) Margin progress is back-end weighted 2) Competitive dynamics threaten peak comps and could impact pricing 3) Operating costs could remain elevated.

Dollar Tree Inc (DLTR / DLTR)

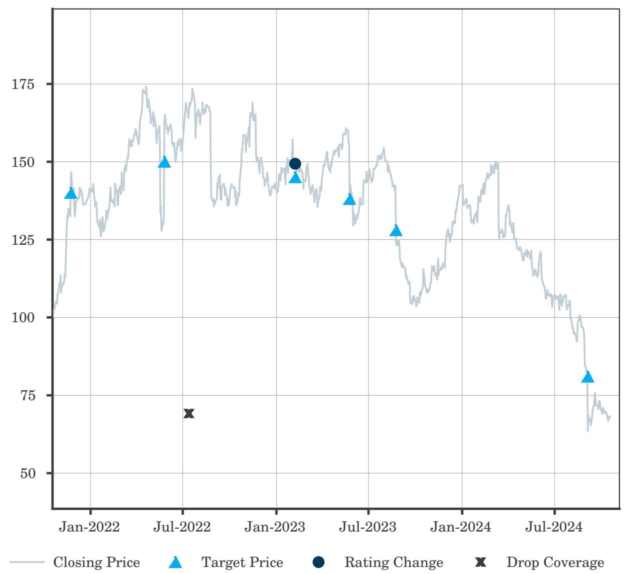
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 68.20** (18-Oct-2024)

Rating and Price Target Chart - USD (as of 18-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
04-Sep-2024	81.65		81.00
24-Aug-2023	142.22		128.00
25-May-2023	155.35		138.00
07-Feb-2023	150.37	Equal Weight	145.00
06-Jul-2022	164.84	Coverage Dropped	
26-May-2022	162.80		150.00
23-Nov-2021	144.71		140.00

On 21-Oct-2021, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 100.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Dollar Tree Inc.
CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Dollar Tree Inc.
J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Dollar Tree Inc and/or in any related derivatives.

Valuation Methodology: Our $81 price target is based on 14x our 2025 EPS estimate of $5.79, which is towards the low end of the historical range to reflect current uncertainty.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: On the upside, higher gross margins along with an inflection in traffic for both DLTR (now lapping the price increase) and FDO (on the back of price increase and other store changes) could likely support the stock even with the reset to guidance. On the downside, there is some cyclical risk, mainly in the discretionary categories, that we have linked to low-income employment, which is at the risk of slowing, as well as execution risk associated with Family Dollar initiatives. Related, there is the risk that more investments will be needed in Family Dollar.

Five Below, Inc. (FIVE / FIVE)

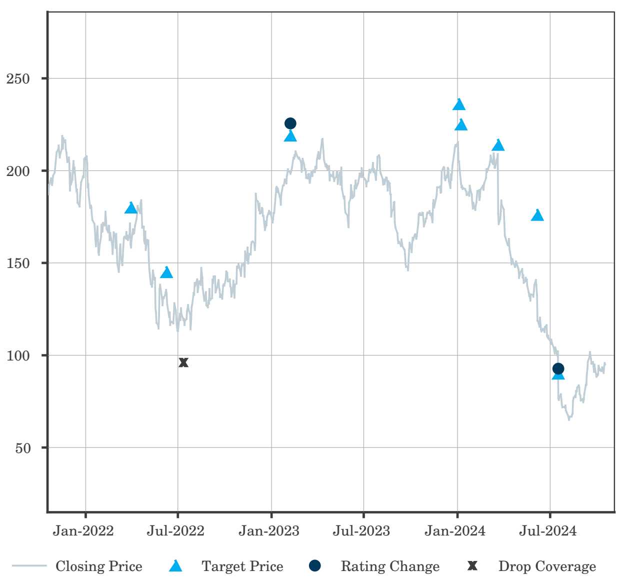
Stock Rating: **EQUAL WEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 94.91** (18-Oct-2024)

Rating and Price Target Chart - USD (as of 18-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
17-Jul-2024	102.07	Equal Weight	90.00
06-Jun-2024	132.79		176.00
21-Mar-2024	208.97		214.00
08-Jan-2024	200.84		225.00
04-Jan-2024	215.51		236.00
07-Feb-2023	198.32	Overweight	219.00
06-Jul-2022	122.36	Coverage Dropped	
09-Jun-2022	133.51		145.00
31-Mar-2022	158.37		180.00

On 21-Oct-2021, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 205.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Five Below, Inc..

FB: Barclays Bank PLC and/or an affiliate beneficially owns a long position of more than 0.5% of a class of equity securities of Five Below, Inc., as calculated in accordance with EU regulations.
J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Five Below, Inc. and/or in any related derivatives.

Valuation Methodology: Our $90 price target is based on 18x our 2025 EPS estimate of $4.98, below the 5-year average.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: To the upside: 1) Moderating inflation or higher wage growth could help support spending from the low/middle income consumer. 2) Shrink initiatives drive better than expected GM recovery. 3) Store remodels can provide a meaningful, multi-year lift to comps. The return of trends and licensing can also provide a boost to sales. To the downside: 1) Consumer spending risk, with the low/middle income consumer increasingly under pressure and over 70% of sales in discretionary categories. 2) Concentration of comps, with most of FIVE's growth now coming from consumables, although that is also helping offset the moderation in discretionary categories that outperformed significantly in 2021. 3) Risk of increased price competition and shrink through 2024/2025, which could limit the gross margin recovery we have embedded.

Walmart Inc. (WMT / WMT)

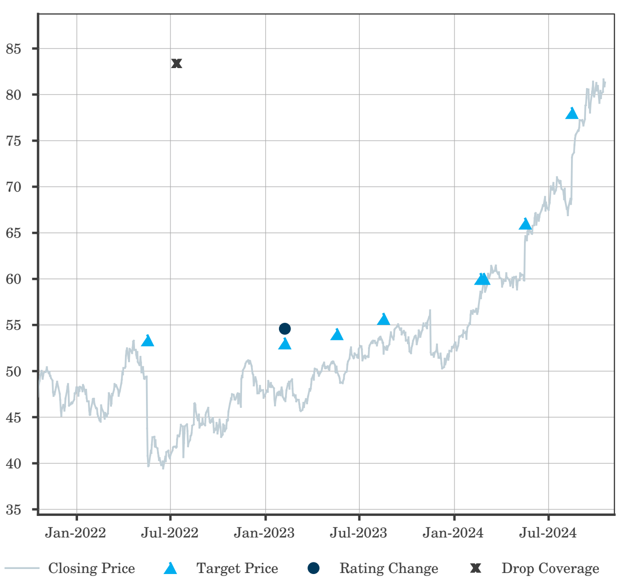
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 81.31** (18-Oct-2024)

Rating and Price Target Chart - USD (as of 18-Oct-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
15-Aug-2024	73.18		78.00
17-May-2024	64.01		66.00
27-Feb-2024	59.60		60.00
21-Feb-2024	57.90		60.00
17-Aug-2023	51.90		55.67
19-May-2023	49.97		54.00
07-Feb-2023	46.99	Overweight	53.00
06-Jul-2022	41.42	Coverage Dropped	
18-May-2022	40.81		53.33

On 21-Oct-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 56.67.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by Walmart Inc..
CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by Walmart Inc..
D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from Walmart Inc. in the past 12 months.
E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from Walmart Inc. within the next 3 months.
J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities by Walmart Inc. and/or in any related derivatives.
K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from Walmart Inc. within the past 12 months.
L: Walmart Inc. is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.
M: Walmart Inc. is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.
N: Walmart Inc. is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

Valuation Methodology: Our $78 price target is based on 28x our FY26E EPS of $2.82 and is supported by the growing diversity of Walmart's business model and the increasing contribution from sticky high-margin profit drivers that are changing the shape of the model.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) Slowing discretionary demand could have a greater impact on its more promotional categories, such as apparel, home, and electronics, and result in markdowns like we saw last year. 2) Related to that is mix, which could shift more to staples and have a greater impact on gross margin in 2023. 3) A faster slowdown in food inflation would likely weigh on sentiment initially, although we see the potential for elasticity to return across a number of categories as pricing pressures ease.

FICC: IMPORTANT DISCLOSURES
Barclays Research is produced by the Investment Bank of Barclays Bank PLC and its affiliates (collectively and each individually, "Barclays").

All authors contributing to this research report are Research Analysts unless otherwise indicated. The publication date at the top of the report reflects the local time where the report was produced and may differ from the release date provided in GMT.

Availability of Disclosures:
For current important disclosures regarding any issuers which are the subject of this research report please refer to https://publicresearch.barclays.com or alternatively send a written request to: Barclays Research Compliance, 745 Seventh Avenue, 13th Floor, New York, NY 10019 or call +1-212-526-1072.

Barclays Capital Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that Barclays may have a conflict of interest that could affect the objectivity of this report. Barclays Capital Inc. and/or one of its affiliates regularly trades, generally deals as principal and generally provides liquidity (as market maker or otherwise) in the debt securities that are the subject of this research report (and related derivatives thereof). Barclays trading desks may have either a long and / or short position in such securities, other financial instruments and / or derivatives, which may pose a conflict with the interests of investing customers. Where permitted and subject to appropriate information barrier restrictions, Barclays fixed income research analysts regularly interact with its trading desk personnel regarding current market conditions and prices. Barclays fixed income research analysts receive compensation based on various factors including, but not limited to, the quality of their work, the overall performance of the firm (including the profitability of the Investment Banking Department), the profitability and revenues of the Markets business and the potential interest of the firm's investing clients in research with respect to the asset class covered by the analyst. To the extent that any historical pricing information was obtained from Barclays trading desks, the firm makes no representation that it is accurate or complete. All levels, prices and spreads are historical and do not necessarily represent current market levels, prices or spreads, some or all of which may have changed since the publication of this document. Barclays Research Department produces various types of research including, but not limited to, fundamental analysis, equity-linked analysis, quantitative analysis, and trade ideas. Recommendations and trade ideas contained in one type of Barclays Research may differ from those contained in other types of Barclays Research, whether as a result of differing time horizons, methodologies, or otherwise.

In order to access Barclays Statement regarding Research Dissemination Policies and Procedures, please refer to https://publicresearch.barclays.com/S/RD.htm. In order to access Barclays Research Conflict Management Policy Statement, please refer to: https://publicresearch.barclays.com/S/CM.htm.

Disclosure(s) regarding Information Sources

Bloomberg® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg") and the Bloomberg Indices are trademarks of Bloomberg. Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Bloomberg does not approve or endorse this material, or guarantee the accuracy or completeness of any information herein, or make any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, Bloomberg shall have no liability or responsibility for injury or damages arising in connection therewith.

All pricing information is indicative only. Unless otherwise indicated, prices are sourced from LSEG Data & Analytics and reflect the closing price in the relevant trading market, which may not be the last available price at the time of publication.

Disclosure Legend:
A: Barclays Bank PLC and/or an affiliate has been lead manager or co-lead manager of a publicly disclosed offer of securities of the issuer in the previous 12 months.

B: An employee or non-executive director of Barclays PLC is a director of this issuer.

CD: Barclays Bank PLC and/or an affiliate is a market-maker in debt securities issued by this issuer.

CE: Barclays Bank PLC and/or an affiliate is a market-maker in equity securities issued by this issuer.

CH: Barclays Bank PLC and/or its group companies makes, or will make, a market in the securities (as defined under paragraph 16.2 (k) of the HK SFC Code of Conduct) in respect of this issuer.

D: Barclays Bank PLC and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

E: Barclays Bank PLC and/or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer within the next 3 months.

FA: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with US regulations.

FB: Barclays Bank PLC and/or an affiliate beneficially owns a long position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FC: Barclays Bank PLC and/or an affiliate beneficially owns a short position of more than 0.5% of a class of equity securities of this issuer, as calculated in accordance with EU regulations.

FD: Barclays Bank PLC and/or an affiliate beneficially owns 1% or more of a class of equity securities of this issuer, as calculated in accordance with South Korean regulations.

FE: Barclays Bank PLC and/or its group companies has financial interests in relation to this issuer and such interests aggregate to an amount equal to or more than 1% of this issuer's market capitalization, as calculated in accordance with HK regulations.

GD: One of the Research Analysts on the fundamental credit coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

GE: One of the Research Analysts on the fundamental equity coverage team (and/or a member of his or her household) has a long position in the common equity securities of this issuer.

H: This issuer beneficially owns more than 5% of any class of common equity securities of Barclays PLC.

I: Barclays Bank PLC and/or an affiliate is party to an agreement with this issuer for the provision of financial services to Barclays Bank PLC and/or an affiliate.

J: Barclays Bank PLC and/or an affiliate is a liquidity provider and/or trades regularly in the securities of this issuer and/or in any related derivatives.

K: Barclays Bank PLC and/or an affiliate has received non-investment banking related compensation (including compensation for brokerage services, if applicable) from this issuer within the past 12 months.

L: This issuer is, or during the past 12 months has been, an investment banking client of Barclays Bank PLC and/or an affiliate.

M: This issuer is, or during the past 12 months has been, a non-investment banking client (securities related services) of Barclays Bank PLC and/or an affiliate.

N: This issuer is, or during the past 12 months has been, a non-investment banking client (non-securities related services) of Barclays Bank PLC and/or an affiliate.

O: Not in use.

P: A partner, director or officer of Barclays Capital Canada Inc. has, during the preceding 12 months, provided services to the subject company for remuneration, other than normal course investment advisory or trade execution services.

Q: Barclays Bank PLC and/or an affiliate is a Corporate Broker to this issuer.

R: Barclays Capital Canada Inc. and/or an affiliate has received compensation for investment banking services from this issuer in the past 12 months.

S: This issuer is a Corporate Broker to Barclays PLC.

T: Barclays Bank PLC and/or an affiliate is providing investor engagement services to this issuer.

U: The equity securities of this Canadian issuer include subordinate voting restricted shares.

V: The equity securities of this Canadian issuer include non-voting restricted shares.

Types of investment recommendations produced by Barclays FICC Research:
In addition to any ratings assigned under Barclays' formal rating systems, this publication may contain investment recommendations in the form of trade ideas, thematic screens, scorecards or portfolio recommendations that have been produced by analysts in FICC Research. Any such investment recommendations produced by non-Credit Research teams shall remain open until they are subsequently amended, rebalanced or closed in a future research report. Any such investment recommendations produced by the Credit Research teams are valid at current market conditions and may not be otherwise relied upon.

Disclosure of other investment recommendations produced by Barclays FICC Research:
Barclays FICC Research may have published other investment recommendations in respect of the same securities/instruments recommended in this research report during the preceding 12 months. To view all investment recommendations published by Barclays FICC Research in the preceding 12 months please refer to https://live.barcap.com/go/research/Recommendations.

Barclays does not assign ratings to asset backed securities. Barclays Capital Inc. and/or one of its affiliates may have acted as an underwriter for public offerings of any asset backed securities that are otherwise recommended in trade ideas contained within its securitised research reports.

Legal entities involved in producing Barclays Research:
Barclays Bank PLC (Barclays, UK)

Barclays Capital Inc. (BCI, US)

Barclays Bank Ireland PLC, Frankfurt Branch (BBI, Frankfurt)

Barclays Bank Ireland PLC, Paris Branch (BBI, Paris)

Barclays Bank Ireland PLC, Milan Branch (BBI, Milan)

Barclays Securities Japan Limited (BSJL, Japan)

Barclays Bank PLC, Hong Kong Branch (Barclays Bank, Hong Kong)

Barclays Bank Mexico, S.A. (BBMX, Mexico)

Barclays Capital Casa de Bolsa, S.A. de C.V. (BCCB, Mexico)

Barclays Securities (India) Private Limited (BSIPL, India)

Barclays Bank PLC, Singapore Branch (Barclays Bank, Singapore)

Barclays Bank PLC, DIFC Branch (Barclays Bank, DIFC)

Disclaimer:
This publication has been produced by Barclays Research Department in the Investment Bank of Barclays Bank PLC and/or one or more of its affiliates (collectively and each individually, "Barclays").

It has been prepared for institutional investors and not for retail investors. It has been distributed by one or more Barclays affiliated legal entities listed below or by an independent and non-affiliated third-party entity (as may be communicated to you by such third-party entity in its communications with you). It is provided for information purposes only, and Barclays makes no express or implied warranties, and expressly disclaims all warranties of merchantability or fitness for a particular purpose or use with respect to any data included in this publication. To the extent that this publication states on the front page that it is intended for institutional investors and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors under U.S. FINRA Rule 2242, it is an "institutional debt research report" and distribution to retail investors is strictly prohibited. Barclays also distributes such institutional debt research reports to various issuers, media, regulatory and academic organisations for their own internal informational news gathering, regulatory or academic purposes and not for the purpose of making investment decisions regarding any debt securities. Media organisations are prohibited from re-publishing any opinion or recommendation concerning a debt issuer or debt security contained in any Barclays institutional debt research report. Any such recipients that do not want to continue receiving Barclays institutional debt research reports should contact debtresearch@barclays.com. Unless clients have agreed to receive "institutional debt research reports" as required by US FINRA Rule 2242, they will not receive any such reports that may be co-authored by non-debt research analysts. Eligible clients may get access to such cross asset reports by contacting debtresearch@barclays.com. Barclays will not treat unauthorized recipients of this report as its clients and accepts no liability for use by them of the contents which may not be suitable for their personal use. Prices shown are indicative and Barclays is not offering to buy or sell or soliciting offers to buy or sell any financial instrument.

Without limiting any of the foregoing and to the extent permitted by law, in no event shall Barclays, nor any affiliate, nor any of their respective officers, directors, partners, or employees have any liability for (a) any special, punitive, indirect, or consequential damages; or (b) any lost profits, lost revenue, loss of anticipated savings or loss of opportunity or other financial loss, even if notified of the possibility of such damages, arising from any use of this publication or its contents.

Other than disclosures relating to Barclays, the information contained in this publication has been obtained from sources that Barclays Research believes to be reliable, but Barclays does not represent or warrant that it is accurate or complete. Appearances by Third-Party Speakers: Any views or opinions expressed by third-party speakers during this event are solely those of the speaker and do not represent the views or opinions of Barclays. Barclays is not responsible for, and makes no warranties whatsoever as to, the information or opinions contained in any written, electronic, audio or video presentations by any third-party speakers at the event ("Third-Party Content"). Any such Third-Party Content has not been adopted or endorsed by Barclays and does not represent the views or opinions of Barclays. Third-Party Content is provided for information purposes only and has not been independently verified by Barclays for its accuracy or completeness.

The views in this publication are solely and exclusively those of the authoring analyst(s) and are subject to change, and Barclays Research has no obligation to update its opinions or the information in this publication. Unless otherwise disclosed herein, the analysts who authored this report have not received any compensation from the subject companies in the past 12 months. If this publication contains recommendations, they are general recommendations that were prepared independently of any other interests, including those of Barclays and/or its affiliates, and/or the subject companies. This publication does not contain personal investment recommendations or investment advice or take into account the individual financial circumstances or investment objectives of the clients who receive it. Barclays is not a fiduciary to any recipient of this publication. The securities and other investments discussed herein may not be suitable for all investors and may not be available for purchase in all jurisdictions. The United States imposed sanctions on certain Chinese companies (https://home.treasury.gov/policy-issues/financial-sanctions/sanctions-programs-and-country-information/chinese-military-companies-sanctions), which may restrict U.S. persons from purchasing securities issued by those companies. Investors must independently evaluate the merits and risks of the investments discussed herein, including any sanctions restrictions that may apply, consult any independent advisors they believe necessary, and exercise independent judgment with regard to any investment decision. The value of and income from any investment may fluctuate from day to day as a result of changes in relevant economic markets (including changes in market liquidity). The information herein is not intended to predict actual results, which may differ substantially from those reflected. Past performance is not necessarily indicative of future results. The information provided does not constitute a financial benchmark and should not be used as a submission or contribution of input data for the purposes of determining a financial benchmark.

This publication is not investment company sales literature as defined by Section 270.24(b) of the US Investment Company Act of 1940, nor is it intended to constitute an offer, promotion or recommendation of, and should not be viewed as marketing (including, without limitation, for the purposes of the UK Alternative Investment Fund Managers Regulations 2013 (SI 2013/1773) or AIFMD (Directive 2011/61)) or pre-marketing (including, without limitation, for the purposes of Directive (EU) 2019/1160) of the securities, products or issuers that are the subject of this report.

Third Party Distribution: Any views expressed in this communication are solely those of Barclays and have not been adopted or endorsed by any third party distributor.

United Kingdom: This document is being distributed (1) only by or with the approval of an authorised person (Barclays Bank PLC) or (2) to, and is directed at (a) persons in the United Kingdom having professional experience in matters relating to investments and who fall within the definition of "investment professionals" in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise lawfully be communicated (all such persons being "Relevant Persons"). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it. Barclays Bank PLC is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

European Economic Area ("EEA"): This material is being distributed to any "Authorised User" located in a Restricted EEA Country by Barclays Bank Ireland PLC. The Restricted EEA Countries are Austria, Bulgaria, Estonia, Finland, Hungary, Iceland, Liechtenstein, Lithuania, Luxembourg, Malta, Portugal, Romania, Slovakia and Slovenia. For any other "Authorised User" located in a country of the European Economic Area, this material is being distributed by Barclays Bank PLC. Barclays Bank Ireland PLC is a bank authorised by the Central Bank of Ireland whose registered office is at 1 Molesworth Street, Dublin 2, Ireland. Barclays Bank PLC is not registered in France with the Autorité des marchés financiers or the Autorité de contrôle prudentiel. Authorised User means each individual associated with the Client who is notified by the Client to Barclays and authorised to use the Research Services. The Restricted EEA Countries will be amended if required.

Finland: Notwithstanding Finland's status as a Restricted EEA Country, Research Services may also be provided by Barclays Bank PLC where permitted by the terms of its cross-border license.

Americas: The Investment Bank of Barclays Bank PLC undertakes U.S. securities business in the name of its wholly owned subsidiary Barclays Capital Inc., a FINRA and SIPC member. Barclays Capital Inc., a U.S. registered broker/dealer, is distributing this material in the United States and, in connection therewith accepts responsibility for its contents. Any U.S. person wishing to effect a transaction in any security discussed herein should do so only by contacting a representative of Barclays Capital Inc. in the U.S. at 745 Seventh Avenue, New York, New York 10019.

Non-U.S. persons should contact and execute transactions through a Barclays Bank PLC branch or affiliate in their home jurisdiction unless local regulations permit otherwise.

This material is distributed in Canada by Barclays Capital Canada Inc., a registered investment dealer, a Dealer Member of Canadian Investment Regulatory Organization (www.ciro.ca), and a Member of the Canadian Investor Protection Fund (CIPF).

This material is distributed in Mexico by Barclays Bank Mexico, S.A. and/or Barclays Capital Casa de Bolsa, S.A. de C.V. This material is distributed in the Cayman Islands and in the Bahamas by Barclays Capital Inc., which it is not licensed or registered to conduct and does not conduct business in, from or within those jurisdictions and has not filed this material with any regulatory body in those jurisdictions.

Japan: This material is being distributed to institutional investors in Japan by Barclays Securities Japan Limited. Barclays Securities Japan Limited is a joint-stock company incorporated in Japan with registered office of 6-10-1 Roppongi, Minato-ku, Tokyo 106-6131, Japan. It is a subsidiary of Barclays Bank PLC and a registered financial instruments firm regulated by the Financial Services Agency of Japan. Registered Number: Kanto Zaimukyokucho (kinsho) No. 143.

Asia Pacific (excluding Japan): Barclays Bank PLC, Hong Kong Branch is distributing this material in Hong Kong as an authorised institution regulated by the Hong Kong Monetary Authority. Registered Office: 41/F, Cheung Kong Center, 2 Queen's Road Central, Hong Kong.

All Indian securities-related research and other equity research produced by Barclays' Investment Bank are distributed in India by Barclays Securities (India) Private Limited (BSIPL). BSIPL is a company incorporated under the Companies Act, 1956 having CIN U67120MH2006PTC161063. BSIPL is registered and regulated by the Securities and Exchange Board of India (SEBI) as a Research Analyst: INH000001519; Portfolio Manager INP000002585; Stock Broker INZ000269539 (member of NSE and BSE); Depository Participant with the National Securities & Depositories Limited (NSDL): DP ID: IN-DP-NSDL-478-2020; Investment Adviser: INA000000391. BSIPL is also registered as a Mutual Fund Advisor having AMFI ARN No. 53308. The registered office of BSIPL is at Nirlon Knowledge Park, 9th floor, Block B-6, Off. Western Express Highway, Goregaon (East), Mumbai – 400063, India. Telephone No: +91

22 61754000 Fax number: +91 22 61754099. Any other reports produced by Barclays' Investment Bank are distributed in India by Barclays Bank PLC, India Branch, an associate of BSIPL in India that is registered with Reserve Bank of India (RBI) as a Banking Company under the provisions of The Banking Regulation Act, 1949 (Regn No BOM43) and registered with SEBI as Merchant Banker (Regn No INM000002129) and also as Banker to the Issue (Regn No INBI00000950). Barclays Investments and Loans (India) Limited, registered with RBI as Non Banking Financial Company (Regn No RBI CoR-07-00258), and Barclays Wealth Trustees (India) Private Limited, registered with Registrar of Companies (CIN U93000MH2008PTC188438), are associates of BSIPL in India that are not authorised to distribute any reports produced by Barclays' Investment Bank.

This material is distributed in Singapore by the Singapore Branch of Barclays Bank PLC, a bank licensed in Singapore by the Monetary Authority of Singapore. For matters in connection with this material, recipients in Singapore may contact the Singapore branch of Barclays Bank PLC, whose registered address is 10 Marina Boulevard, #23-01 Marina Bay Financial Centre Tower 2, Singapore 018983.

This material, where distributed to persons in Australia, is produced or provided by Barclays Bank PLC.

This communication is directed at persons who are a “Wholesale Client” as defined by the Australian Corporations Act 2001.

Please note that the Australian Securities and Investments Commission (ASIC) has provided certain exemptions to Barclays Bank PLC (BBPLC) under paragraph 911A(2)(l) of the Corporations Act 2001 from the requirement to hold an Australian financial services licence (AFSL) in respect of financial services provided to Australian Wholesale Clients, on the basis that BBPLC is authorised by the Prudential Regulation Authority of the United Kingdom (PRA) and regulated by the Financial Conduct Authority (FCA) of the United Kingdom and the PRA under United Kingdom laws. The United Kingdom has laws which differ from Australian laws. To the extent that this communication involves the provision of financial services by BBPLC to Australian Wholesale Clients, BBPLC relies on the relevant exemption from the requirement to hold an AFSL. Accordingly, BBPLC does not hold an AFSL.

This communication may be distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited (ACN 636 976 059, “Barrenjoey”), the holder of Australian Financial Services Licence (AFSL) 521800, a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC.

This material, where distributed in New Zealand, is produced or provided by Barclays Bank PLC. Barclays Bank PLC is not registered, filed with or approved by any New Zealand regulatory authority. This material is not provided under or in accordance with the Financial Markets Conduct Act of 2013 (“FMCA”), and is not a disclosure document or “financial advice” under the FMCA. This material is distributed to you by either: (i) Barclays Bank PLC directly or (ii) Barrenjoey Markets Pty Limited (“Barrenjoey”), a non-affiliated third party distributor, where clearly identified to you by Barrenjoey. Barrenjoey is not an agent of Barclays Bank PLC. This material may only be distributed to “wholesale investors” that meet the “investment business”, “investment activity”, “large”, or “government agency” criteria specified in Schedule 1 of the FMCA.

Middle East: Nothing herein should be considered investment advice as defined in the Israeli Regulation of Investment Advisory, Investment Marketing and Portfolio Management Law, 1995 (“Advisory Law”). This document is being made to eligible clients (as defined under the Advisory Law) only. Barclays Israeli branch previously held an investment marketing license with the Israel Securities Authority but it cancelled such license on 30/11/2014 as it solely provides its services to eligible clients pursuant to available exemptions under the Advisory Law, therefore a license with the Israel Securities Authority is not required. Accordingly, Barclays does not maintain an insurance coverage pursuant to the Advisory Law.

This material is distributed in the United Arab Emirates (including the Dubai International Financial Centre) and Qatar by Barclays Bank PLC. Barclays Bank PLC in the Dubai International Financial Centre (Registered No. 0060) is regulated by the Dubai Financial Services Authority (DFSA). Principal place of business in the Dubai International Financial Centre: The Gate Village, Building 4, Level 4, PO Box 506504, Dubai, United Arab Emirates. Barclays Bank PLC-DIFC Branch, may only undertake the financial services activities that fall within the scope of its existing DFSA licence. Related financial products or services are only available to Professional Clients, as defined by the Dubai Financial Services Authority. Barclays Bank PLC in the UAE is regulated by the Central Bank of the UAE and is licensed to conduct business activities as a branch of a commercial bank incorporated outside the UAE in Dubai (Licence No.: 13/1844/2008, Registered Office: Building No. 6, Burj Dubai Business Hub, Sheikh Zayed Road, Dubai City) and Abu Dhabi (Licence No.: 13/952/2008, Registered Office: Al Jazira Towers, Hamdan Street, PO Box 2734, Abu Dhabi). This material does not constitute or form part of any offer to issue or sell, or any solicitation of any offer to subscribe for or purchase, any securities or investment products in the UAE (including the Dubai International Financial Centre) and accordingly should not be construed as such. Furthermore, this information is being made available on the basis that the recipient acknowledges and understands that the entities and securities to which it may relate have not been approved, licensed by or registered with the UAE Central Bank, the Dubai Financial Services Authority or any other relevant licensing authority or governmental agency in the UAE. The content of this report has not been approved by or filed with the UAE Central Bank or Dubai Financial Services Authority. Barclays Bank PLC in the Qatar Financial Centre (Registered No. 00018) is authorised by the Qatar Financial Centre Regulatory Authority (QFCRA). Barclays Bank PLC-QFC Branch may only undertake the regulated activities that fall within the scope of its existing QFCRA licence. Principal place of business in Qatar: Qatar Financial Centre, Office 1002, 10th Floor, QFC Tower, Diplomatic Area, West Bay, PO Box 15891, Doha, Qatar. Related financial products or services are only available to Business Customers as defined by the Qatar Financial Centre Regulatory Authority.

Russia: This material is not intended for investors who are not Qualified Investors according to the laws of the Russian Federation as it might contain information about or description of the features of financial instruments not admitted for public offering and/or circulation in the Russian Federation and thus not eligible for non-Qualified Investors. If you are not a Qualified Investor according to the laws of the Russian Federation, please dispose of any copy of this material in your possession.

Sustainable Investing Related Research: There is currently no globally accepted framework or definition (legal, regulatory or otherwise) of, nor market consensus as to what constitutes a ‘sustainable’, ‘ESG’, ‘green’, ‘climate-friendly’ or an equivalent company, investment, strategy or consideration or what precise attributes are required to be eligible to be categorised by such terms. This means there are different ways to evaluate a company or an investment and so different values may be placed on certain sustainability credentials as well as adverse ESG-related impacts of companies and ESG controversies. The evolving nature of sustainable investing considerations, models and methodologies means it can be challenging to definitively and universally classify a company or investment under a sustainable investing label and there may be areas where such companies and investments could improve or where adverse ESG-related impacts or ESG controversies exist. The evolving nature of sustainable finance related regulations and the development of jurisdiction-specific regulatory criteria also means that there is likely to be a degree of divergence as to the interpretation of such terms in the market. We expect industry guidance, market practice, and regulations in this field to continue to evolve.

Any information, data, image, or other content including from a third party source contained, referred to herein or used for whatsoever purpose by Barclays or a third party (“Information”), in relation to any actual or potential ‘ESG’, ‘sustainable' or equivalent objective, issue, factor or consideration is not intended to be relied upon for ESG or sustainability classification, regulatory regime or industry initiative purposes (“ESG Regimes”), unless